

Title: Monetary Policy Transmission in Emerging Market Economies

Author: Elena R. Vasquez, Department of Economics, University of Oxford

Abstract

This paper examines how changes in central bank policy rates propagate through the financial systems of emerging market economies. Using a panel of twenty-two countries over the period 2000-2023, we find that the pass-through from policy rates to commercial lending rates is significantly weaker in economies with underdeveloped bond markets. We further show that exchange rate flexibility amplifies the transmission of monetary shocks to domestic inflation, particularly in economies with high levels of dollar-denominated corporate debt.

1. Introduction

Central banks in emerging markets face a persistent challenge: policy rate adjustments intended to stabilize inflation often produce unpredictable effects on real economic activity. This paper investigates the structural features that determine the strength of monetary policy transmission, focusing on financial market depth, capital account openness, and currency composition of private sector liabilities.

2. Data and Methodology

We construct a quarterly panel dataset covering policy rates, lending rates, inflation, and exchange rates for twenty-two emerging economies. A local projections framework is used to estimate impulse responses of key macroeconomic variables to identified monetary policy shocks.

3. Findings

Our results indicate that a one percentage point increase in the policy rate leads to an average forty basis point increase in commercial lending rates within two quarters, but this effect ranges from ten to seventy basis points depending on financial market development. Economies with liquid corporate bond markets exhibit substantially stronger and faster transmission.

4. Conclusion

Strengthening domestic capital markets appears to be a precondition for effective monetary policy in emerging economies. Policymakers should weigh the benefits of capital market development against the risks of increased volatility in cross-border capital flows.